Pricing Strategy

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Written by: Steve Vorster
Reviewed by: Jenna Quinn
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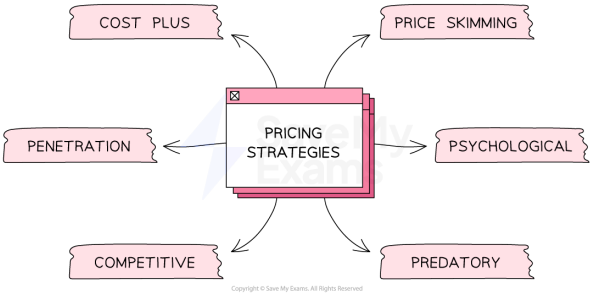
Types of pricing strategies

- Choosing the right **pricing strategy** is essential for a business to be profitable, competitive and successful in the long run

Common pricing strategies



Different types of pricing strategies

Explanation of pricing strategies

Pricing strategy	Explanation
Cost plus	• The business calculates the **cost of production** and then adds a markup to determine the final price • The markup covers the cost of production **plus the business's desired profit margin** • The formula to calculate the cost-plus price is: Unit cost + (Markup percentage × Unit cost) • This pricing strategy is simple to calculate • It is commonly **used by manufacturers** that produce standardised goods (e.g. washing machines)
Price skimming	• The business sets a **high price** for a new product/service when it is **first introduced to the market**

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	successive models of **Apple's MacBook Air**) • The high price helps the business recover its **development and marketing costs** quickly • The business will then gradually lower the price to **ensure sales continue**
Penetration	• The business sets a **low price for a new product/service** when it is first introduced • This is effective when a business wants to quickly **capture market share** and attract price-sensitive customers (e.g. many new perfumes launch using penetration pricing) • Once it has enough customers, the business will start to **raise the price**
Predatory	• The business **sets prices so low** that it drives its competitors out of the market • This strategy is illegal in many countries, including the UK, as it is considered **anti-competitive** and harms customers by reducing choice in the market
Competitive	• The business sets its prices **based on its competitors' prices** • This is effective when a business is in a highly competitive market and wants to **maintain its market share** • The business must continually monitor its competitors' prices and adjust its prices accordingly to remain competitive
Psychological	• This pricing strategy takes into account the **customer's emotions, beliefs and attitudes** towards the product/service • For example, a business may set its prices at £9.99 instead of £10, as customers perceive the former as better value

Help me understand

Factors influencing the choice of pricing strategy

- By understanding their customers, competitors and costs, businesses can set prices that **maximise revenue** and profitability

setting its pricing strategy
    - Understanding these factors can help a business **make informed decisions** about its pricing and increase its chances of success

Factors to consider when choosing a pricing strategy

Number of USPs/amount of differentiation	Price elasticity of demand	Level of competition
• Products with many USPs and **high differentiation can command higher prices** • For example, Dyson vacuum cleaners have unique features that allow the company to charge a **premium price**	• A business needs to consider the **price elasticity of demand** when setting its prices • For example, if a business is in a highly competitive market with many substitutes, lowering prices will increase **revenue** • Businesses should set lower prices if the product is **price elastic** • Businesses should set higher prices if the product is **price inelastic**	• In highly competitive markets, businesses may need to **set their prices low** t remain competitive • For example the budget airline industry is **highly competitiv** and airlines keep their prices low t increase demand • In less competitive markets, businesses may be able **to set highe prices**
Strength of the brand	**Stage in the product life cycle**	**Costs and the need to make a profit**

base can command higher prices • For example, Nike's strong brand allows it to **charge premium prices** for its athletic shoes and apparel	may be set lower to attract customers and build market share • In the **growth** stage, prices can increase as demand for the product increases • In the **maturity** stage, prices may need to be lowered again	**production and provid a reasonab profit margin** • For example a restaurant needs to consider th cost of ingredients labour, rent and other expenses when settin menu price

Examiner Tips and Tricks

Exam questions frequently ask you to be able to justify the most appropriate pricing strategy for a good or service.

When studying the data provided, consider the points above and then make a recommendation.

For example, in launching a new product with a strong brand identity, it may be appropriate to use a price skimming strategy to recover research and development costs.

Changes in pricing to account for social trends

- Both **online sales** and **price comparison sites** have had a significant impact on pricing strategies
- Retailers must **continually adapt to remain competitive** in these markets

Online sales

- Online sales offer customers convenience and 24/7 accessibility
- Retailers have shifted their focus to online sales and adjusted their **pricing strategies**
- One way that pricing has changed to reflect this trend is through the use of **dynamic pricing**
  - Retailers can adjust prices in real time based on factors such as demand and competition
  - Prices are **higher when supply is lower** and vice versa
- Retailers may also offer different prices for online purchases compared to in-store purchases to incentivise customers to shop online, which may mean the retailer **requires fewer physical stores**

- Retailers have had to adjust their pricing strategies to remain competitive in an online marketplace where customers can easily compare prices (e.g. **www.comparethemarket.com**)
- Pricing has changed to reflect the rise in price comparison through the use of **price-matching policies**
  - Retailers now offer to match the prices of their competitors to prevent customers from switching to a competitor with a lower price
- Retailers may also use **pricing algorithms** to monitor the prices of their competitors and **adjust their prices** automatically

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